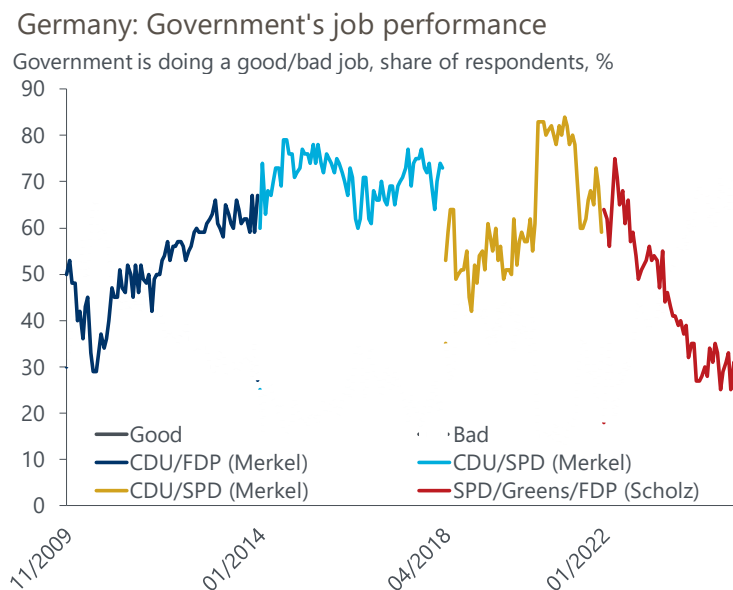


Research Briefing | Germany

What next month's election means for reforms and the economy

- Germany's snap federal election is likely to deliver a less fractious governing coalition, which may lift gloomy household and business sentiment. However, we don't envisage the coalition adopting a swift structural reform agenda or delivering a major growth impetus.
- A clear majority for either side of the political spectrum looks unlikely. The conservative CDU will need to rely on the Social Democrats or the Greens from the centre-left to return to power. While compromise should come easier in the upcoming term, we think major disagreements between the parties will likely slow reforms and bias the outcomes towards the status-quo.
- The CDU has abandoned its wholesale opposition to reform of Germany's public debt brake, which limits the deficit to a meagre 0.35% of GDP. The new fiscal space would likely be used for a combination of tax cuts, private investment incentives, and infrastructure spending. But major fiscal easing isn't our baseline as signals from the CDU are mixed and EU fiscal rules will constrain the scope.
- The change in government is unlikely to significantly impact the economy before 2026, so we still expect the economy to struggle to grow this year. Uncertainty will remain high thereafter. Abrupt changes to US trade policy as well as forceful demands for higher defence spending loom large.
- Upside risks to growth could come from coalition partners putting aside their hastily-put-together manifestos to agree far-reaching structural reforms and more meaningful reform to the debt brake. This could jumpstart a rebound in investment and consumption in 2026. A new off-budget vehicle to finance a lasting rise in defence spending is also feasible.

Chart 1: The outgoing coalition had worst job approval of past four terms



Source: Oxford Economics/Forschungsgruppe Wahlen: Politbarometer

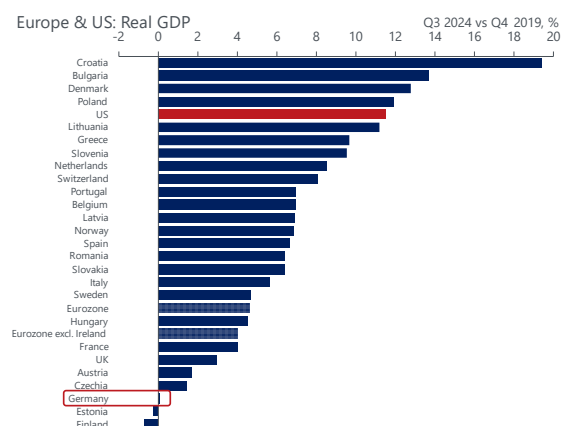
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Germany is headed for snap elections on February 23 after the collapse of the fractious three-party coalition comprising the social democrats (SPD), the Green party, and the liberals (FDP). A fight over the budget and the debt brake was the trigger, but conflicts had been festering for a while.

The public's assessment of the government's job performance is the worst in at least 15 years (**Chart 1**). Part of that is due to the scale of the challenges faced by the coalition and which the German economy is particularly exposed to. But it's also clear that the previous administration didn't rise to the occasion. Too much infighting kept the coalition from adequately addressing the host of structural and cyclical headwinds – from higher energy prices to increased protectionism, geopolitical fragmentation, the shift to EVs, and demographics.

This has left Germany as one of the worst performing economies in the EU and among the G7 economies (**Chart 2**). In other words, there is plenty of scope for improvement. However, we see several reasons to not raise our [growth outlook](#) above our consensus-aligned call, which envisages growth picking up to around 1% next year after a lengthy stagnation.

Chart 2: Germany's economy has stagnated



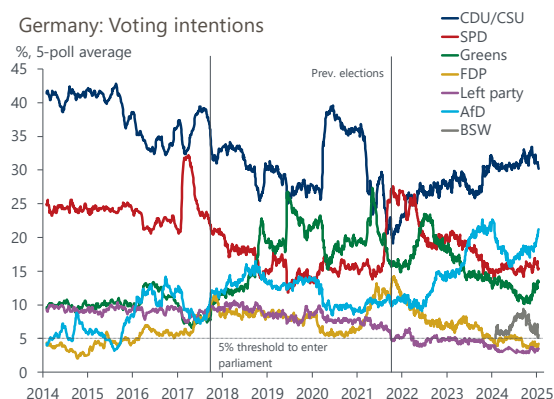
Source: Oxford Economics/Haver Analytics

Coherent reform agenda may remain elusive for the next governing coalition

A key reason for caution is that the next government will again likely to be made up of parties from the centre-right and centre-left of the spectrum. The conservative, centre-right CDU has been leading the polls for the past three years (**Chart 3**). But it will likely require at least one partner from the centre-left based on current

polls. Much depends on whether the liberal FDP and the Left party manage to cross the 5% vote-share threshold to enter parliament.

Chart 3: CDU is likely to return to power with Greens or SPD as most likely partner



Source: Oxford Economics/Wahlrecht.de (Allensbach, Emnid, Forsa, Forschungsgruppe Wahlen, Infratest dimap, INSA)

Most recent polls point to a two-party deal being feasible. But it isn't obvious which party the CDU's candidate for chancellor, Friedrich Merz, would choose. A deal with the Greens would be a novelty at the federal level. It might be easier to agree some of the social expenditure cuts the CDU is calling for as the Greens might opt to focus on safeguarding their approach to the green transition. The parties would also have a solid position in the Bundesrat, the upper house of parliament, due to their successful cooperation at the state-level.

But a deal with the SPD has more public support, at 30% versus 9% for the Greens. The CDU's Bavarian sister party notionally opposes a deal with the Greens. And it may be easier to agree delays to the green agenda with the social democrats to lessen the immediate pressure on households and the corporate sector. Based on their election manifestos, the macroeconomic impacts of the two options aren't radically different in our view.

Governing coalitions are the norm in Germany and have been made up of parties from both sides of the political spectrum before. But, like elsewhere, Germany has seen growing political fragmentation, which has made political compromises harder to achieve and sustain.

Indeed, the most noteworthy development in the next parliament is the rise of the populist, far-right Alternative for Germany party. It may

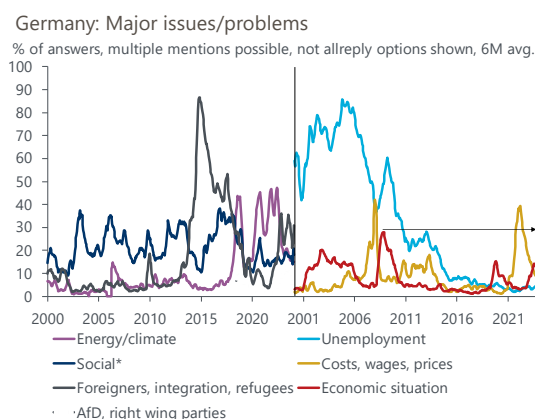
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double its seat count to become the second-largest faction, shrinking centrist parties. This means other coalition options are mathematically possible. But the major parties have pledged not to make a deal with the AfD, and in contrast to Austria, where the populists now look likely to enter government, we think this promise will hold in Germany at least for this election.

Party platforms fall short of challenges and proposals are often at odds

Voters' priorities have clearly shifted from four years ago. They now see the economy alongside immigration and integration as the most urgent issues, while at the last election climate change ranked highest by far (**Chart 4**). On one side are a stagnant economy, rising unemployment, and lacklustre real income growth. On the other, a weakening and more uncertain outlook in the face of harsh demographic headwinds, rapid technological change, and US tariff threats. All have left their mark.

Chart 4: The economy seen as most important issue; more so than during financial crisis



Source: Oxford Economics/Forschungsgruppe Wahlen: Politbarometer

Political parties have responded. Compared to the last election, the manifestos of the three most likely to form the next government generally put a larger emphasis on growth through a mixture of fiscal easing and structural reforms to strengthen output.

There is sufficient overlap in their proposals to make a coalition deal feasible. But there is also a dearth of detail. This is good for odds of a deal, but bad for a well-founded assessment. It also obscures the fact that the centre-right and left parties disagree on how to attain their goals,

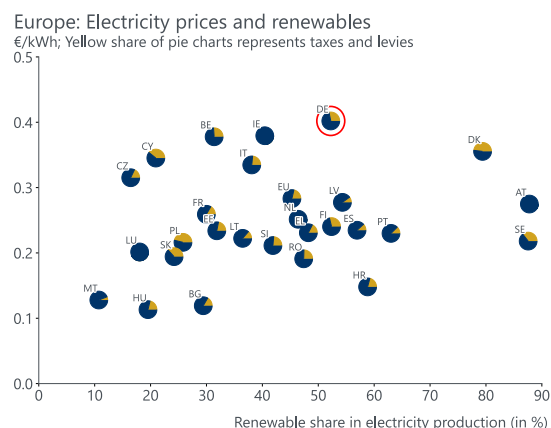
which will tend to end in political deals at the cost of an effective solution.

The main points of the major parties' fiscal and tax plans are detailed in **Chart 6** and **Table 1** in the Appendix. Estimates of the scope of fiscal easing vary widely as parties don't offer their own tally. In general, they add up to 0.5%-2% of GDP, with a focus on income and corporate tax relief.

The CDU's tax plans are significantly more ambitious than those of the two centre-left parties. None of the parties frame their plans as cyclical stimulus despite the economic stagnation. For instance, the CDU frames its income tax cuts as increasing labour supply incentives, while the corporate tax cut to 25% from around 30% is meant to improve Germany's attractiveness to investors, making up for large tax cuts abroad. In contrast, the SPD and Greens propose support to corporates of similar magnitude, but focus on direct investment incentives, such as improved write-downs.

There is also cross-party support for a further easing of energy – especially electricity – costs, for example via reduced grid surcharges and cuts to the electricity tax, which may be worth some €10bn. This too seems sensible given Germany's electricity costs remain very high by international standards (**Chart 5**). Still, the broader and more important question of how to make the energy transition more cost effective and less disruptive to corporates and households is likely to be more controversial. For instance, the CDU plans to abolish a major reform of heating regulations spearheaded by the Greens.

Chart 5: German households' electricity prices are among the highest in Europe



Source: Oxford Economics/Eurostat

There are also a number of labour market initiatives, but they tend to be small in scope or

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unlikely to be implemented in a coalition. For instance, the CDU is likely to block a hike of the minimum wage to €15 per hour favoured by the SPD and Greens. And the CDU's plans to incentivise people to work more overtime or past their retirement age are unlikely to offer a lot of support to raise effective labour supply. The three relevant parties also support more skilled labour immigration to ease the looming demographic headwinds.

However, Germany's working age population is still forecast to shrink around 5% over the next ten years and these plans are unlikely to be a game changer. Similarly, none of the parties are proposing a general increase of the retirement age to soften the drag on labour supply and limit the cost of demographic change.

Meanwhile, a prominent topic in recent years and in the campaigns is a reduction in Germany's excessive bureaucracy, which is meant to cut costs, raise productivity, and incentivise corporate investment. These plans build on some [initial steps](#) of the last coalition and would be a cheap way to ease the burden on firms. So far, though, there's been little more than promises – a recurring problem in recent years. A key exception is the CDU, which has pledged to drop the national supply chain law (Lieferkettengesetz). But the economic benefits are hard to assess.

In addition, some of the parties have pledged to support the ailing industrial sector. The cut to electricity costs will especially benefit energy-intensive sectors. And while the CDU primarily relies on tax cuts aiding corporates in general, the SPD proposes a batch of measures to support the auto sector's transition to EVs. However, it seems to us that industrial firms will have to predominantly rely on their own measures to return to lasting competitiveness and profitability.

Overall, parties seem to be more ready to acknowledge the scope of Germany's challenges and are willing to tackle them. But as things stand, we aren't confident that the published plans will have a major impact. And we see ample scope for renewed infighting in the next coalition especially if a three-party deal were to be required again to build a majority.

On EU-related topics, there's generally a lack of initiatives. For instance, "Europe" is mentioned once in the table of contents of the CDU

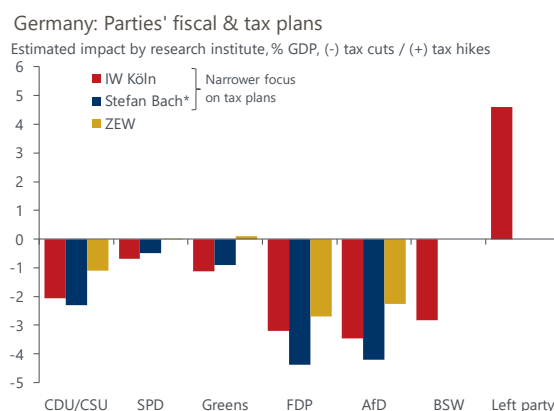
manifesto. In 2021, it was mentioned nine times. Despite the prospects for a fractious coalition, it's to be hoped that it at least speaks with one voice again in Brussels, and doesn't hinder decision making. But a major reform push, say to implement key elements of the Draghi report, is probably unlikely.

CDU refusal to detail debt brake reforms puts fiscal easing plans into question

Another key basis for our caution is a lack of clarity on how the CDU, the presumptive government leader, plans to finance its fiscal plans. Admittedly, the CDU's lead candidate has already stated that tax cuts would need to be phased in over four years. The CDU has also mentioned some cuts to social spending, although they don't look sufficient to fully finance the tax cuts and might be vetoed by a potential centre-left partner.

The CDU has also cautiously opened the door to reform of Germany's debt brake, the nation's tight fiscal rules enshrined in the constitution, which could allow wider structural deficits. But although there is support at the state level, many in the party seem to still be sceptical. What's more, a major revision would require a two-thirds majority in both houses of parliament, so the next government would rely on opposition support. There's a small risk that it would even need the support of the AfD, which might make the project unpalatable.

Chart 6: Ambitious tax plans are unlikely to fully materialise even with debt brake reform



Source: Oxford Economics/IW Köln/ZEW-EvISTA/*DIW

Overall, some kind of reform of the debt brake or a new off-budget vehicle to circumvent it looks increasingly likely. But the lack of details and likely implementation delays mean this will be

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more a story for 2026 or later, and is hard to quantify for a shift in our baseline.

We would caution against expecting major easing of the brake. Keeping debt levels on course to undershoot 60% of GDP from the current 63% or so would likely remain a priority for any CDU-led coalition. In addition, our baseline already assumes that fiscal deficits will continue to be wider than 0.5% of GDP in the medium term, compared to the debt brake's 0.35% limit in normal times. Lastly, any reform will need to comply with the EU's new fiscal rules. We will discuss the scope for fiscal easing in more detail in an upcoming briefing.

A surprise reform spurt is conceivable

The good news is that our low expectations and the economy's weak starting point make scenarios with upside risks more likely. Indeed, the CDU may be willing to contemplate more meaningful reform or circumvention of the debt brake if much of the fiscal space went towards its priorities. Public investment and defence spending would be likely beneficiaries in this scenario. Spending in these areas would also facilitate compliance with EU fiscal rules despite wider deficits.

Future coalition partners may also set aside their hastily written election manifestos and agree a broader and deeper reform agenda. This could be akin to the grand coalition in 2007 that agreed to significant policy changes, such as raising the pension age to 67 and a large rise in VAT in part to dampen payroll taxes. The sustainability of the social security system is one such area, where sharply rising costs will necessitate reforms eventually, as payroll taxes would otherwise keep on rising, undermining competitiveness. But our view is that political fragmentation has made such a scenario not overly likely or at least will reduce its scope.

Overall, we think that the next federal government is likely to be more constructive than the outgoing coalition has been. It's likely that there will be some progress in tackling Germany's key structural challenges. A moderate fiscal easing could grease the wheels of political compromise. In combination with the lagged impact from monetary policy easing, more certainty on US trade policy, and Germany's corporate sector enacting its own measures to

return to lasting profitability, that should prop up GDP growth.

However, some of that is already accounted for in our forecasts and we see only limited upside risks to our baseline of growth picking up to just above 1% in the next few years. That's still a meagre pace, particularly considering the recent period of stagnation, though it would reduce the gap relative to the eurozone average. In sum, we think it's unlikely that Germany is headed for a new phase of outperformance based on the next government's policies.

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Table 1: Parties' tax plans

Germany: Parties' tax plans							
bn EUR, unless stated, (-) tax cuts / (+) tax hikes							
	CDU / CSU	SPD	Greens	FDP	AfD	BSW	Left party
Income tax	-41	-8	-11	-95	-63	-110	-20
Corporate tax	-20	0		-17	-17		78
Investment bonus	0	-20	-20				
Solidarity surcharge	-13	0		-13	-13		
Sales tax	-4	-4		-4	-5	-16	-30
Electricity tax / grid costs	-10	-10	-10	-5	-5	-5	-5
Capital gains / withholding tax	0	7		-1	-2	7	7
Inheritance tax	-1	3	3	-1	-10	3	17
Wealth tax	0	2	2			15	123
Climate bonus			-12				-16
Air transport tax				-2	-2		8
Property tax					-16		
CO2 tax					-16	-16	
Financial transaction tax							36
Total	-89	-30	-48	-138	-149	-122	198
...% GDP	-2.1	-0.7	-1.1	-3.2	-3.5	-2.8	4.6

Source: Oxford Economics/IW Köln